In its current state, it is natural that there will be a debate in the relationship about ways of mitigation. An issue that presents itself is whether intensive economics is an effective answer to complicated politics. There was a period when significant sections of opinion in India believed in such possibilities. When China was described as a ‘strategic partner’ in 2005, this was in the expectation that the optimistic view of ties would prevail.

In the last decade-and-a-half, those hopes have been belied. Economics has hardly helped in stabilizing politics and, to add insult to injury, actually become a cause of problems in itself. One part of it is the reality of global supply chains that emanate so much from China, but the other is the fact that we have made it so hard till recently to undertake manufacturing in India. Indeed, there are influential voices that still argue that this is neither the competence nor the destiny of India! The result is that market-access challenges and a mounting deficit have made trade with China increasingly problematic. This is fuelled by the contrasting shares that technology and digital businesses have in each other’s markets. The irony is that those who claim to be concerned are the very parties responsible for this predicament.

Indians must realize that only a sustained effort in building domestic alternatives can rectify the situation. But there is no doubt that the Covid pandemic has heightened awareness of the risks of such massive external exposure. This has only been accentuated by the concerns emanating from the escalated friction in the border areas. ‘*Atmanirbhar* Bharat’ has now emerged as much as an expression of strategic response as of economic capability. Even though there is a strong proclivity in India to deal with China more bilaterally, some of the global debates of our times do intrude into the ties. This is particularly so in respect of domains like supply chains, technology, data and connectivity. In fact, the more global China becomes, the more these larger discussions will shape the response of its interlocutors.

Like the rest of the world, India, too, is grappling with the reality that the established economic models are unable to cater to the realities of the day. It is clear that the logic of comparative advantage does not work with respect to those who are autonomous of market forces. And obviously, the world is simply not geared to take on the challenge of unrestricted competition, when every factor of production and consumption can be leveraged.